

Clearly, American Express was a changed company. After jettisoning Shearson-Lehman with its massive capital needs, American Express had a powerful ability to generate excess cash. For the first time, the company had more capital and more shares than needed. Buffett, appreciating the economic changes that were under way at American Express, dramatically increased Berkshire's position in the company. By March 1995, he had added another 20 million shares, bringing Berkshire's ownership of American Express to slightly less than 10 percent.

Tenet: Determine the Value

Since 1990, the noncash charges, depreciation, and amortization have roughly equaled American Express's acquisition of land, buildings, and equipment. When depreciation and amortization charges approximate capital spending, owner earnings equal net income. However, because of the company's erratic history, it is difficult to ascertain the growth rate of American Express's owner earnings. Under these circumstances, it is best to use a very conservative growth projection.

By the end of 1994, reflecting the results of American Express's net of the subsidiaries sold in 1993, the company's owner earnings were approximately \$1.4 billion. Golub's goal, you will remember, was to grow earnings at a 12 to 15 percent rate going forward. Using a 10 percent growth in earnings for the next 10 years followed by a 5 percent residual growth thereafter (which is decidedly below management's forecast) and discounting the earnings by 10 percent (which is a conservative discount factor considering the 30-year U.S. Treasury bond was yielding 8 percent), the intrinsic value of American Express was \$43.4 billion, or \$87 per share. If the company was able to grow its earnings at 12 percent, the intrinsic value of American Express was closer to \$50 billion, or \$100 per share. At the more conservative valuation, Buffett was purchasing American Express at a 70 percent discount to intrinsic value—a significant margin of safety.

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